

LOAN REJECTION REASONS AND REAPPLICATION POLICY

Department: Risk | Category: Personal Loan | Year: 2024 | CONFIDENTIAL

BAJAJ FINANCE LIMITED

INTERNAL POLICY DOCUMENT

LOAN REJECTION REASONS AND REAPPLICATION POLICY

INTRODUCTION

This document outlines the primary reasons for loan application rejections and the guidelines for reapplication. It aims to ensure transparency and provide applicants with a clear understanding of the factors affecting loan approval.

PRIMARY REASONS FOR LOAN REJECTION

- CIBIL SCORE**: A CIBIL score below 750 may lead to rejection. A satisfactory credit score indicates financial discipline and creditworthiness.
- FIXED OBLIGATION TO INCOME RATIO (FOIR)**: A high FOIR, exceeding 50%, indicates that the applicant has excessive debt obligations relative to income, resulting in rejection.
- INCOME CRITERIA**: Failure to meet the minimum income threshold, based on the loan product, can result in rejection. Income stability is crucial for assessing repayment capability.
- JOB STABILITY**: Employment history with frequent job changes or short employment duration at the current job can negatively impact the assessment of loan applications.
- MULTIPLE LOAN ENQUIRIES**: Numerous loan inquiries within a short period can adversely affect the CIBIL score, indicating credit-hungry behavior, and may lead to rejection.
- DEFAULT HISTORY**: Previous loan default records reflect a lack of creditworthiness, leading to a higher likelihood of rejection.
- DOCUMENTATION ISSUES**: Incomplete or incorrect documentation, including discrepancies in identity or address proofs, can result in application rejection.
- PROPERTY ISSUES (FOR HOME LOANS)**: Legal issues, disputed ownership, or non-compliance with regulatory requirements associated with the property can result in rejection.

REAPPLICATION WAITING PERIOD

Applicants whose loan applications are rejected must wait for a period of 3 months before reapplying. This period allows for the rectification of issues that led to the initial rejection.

IMPROVING CHANCES BEFORE REAPPLYING

- Enhance Credit Score**: Pay existing dues on time to improve the CIBIL score.
- Reduce FOIR**: Lower existing debt obligations to improve FOIR.

LOAN REJECTION REASONS AND REAPPLICATION POLICY

Department: Risk | Category: Personal Loan | Year: 2024 | CONFIDENTIAL

- ****Stabilize Employment****: Maintain job stability and income consistency.
- ****Correct Documentation****: Ensure all documents are accurate and up-to-date.
- ****Property Compliance****: Resolve any property-related issues for home loans.

APPEAL PROCESS

Applicants who believe their application was unjustly rejected may file an appeal. The appeal must be submitted in writing to the Loan Review Committee within 14 days of receiving the rejection notice. The committee will review the appeal and respond within 30 days.

This policy ensures a fair and transparent process for loan applications and reapplications, providing applicants with actionable steps to improve their chances of approval.